

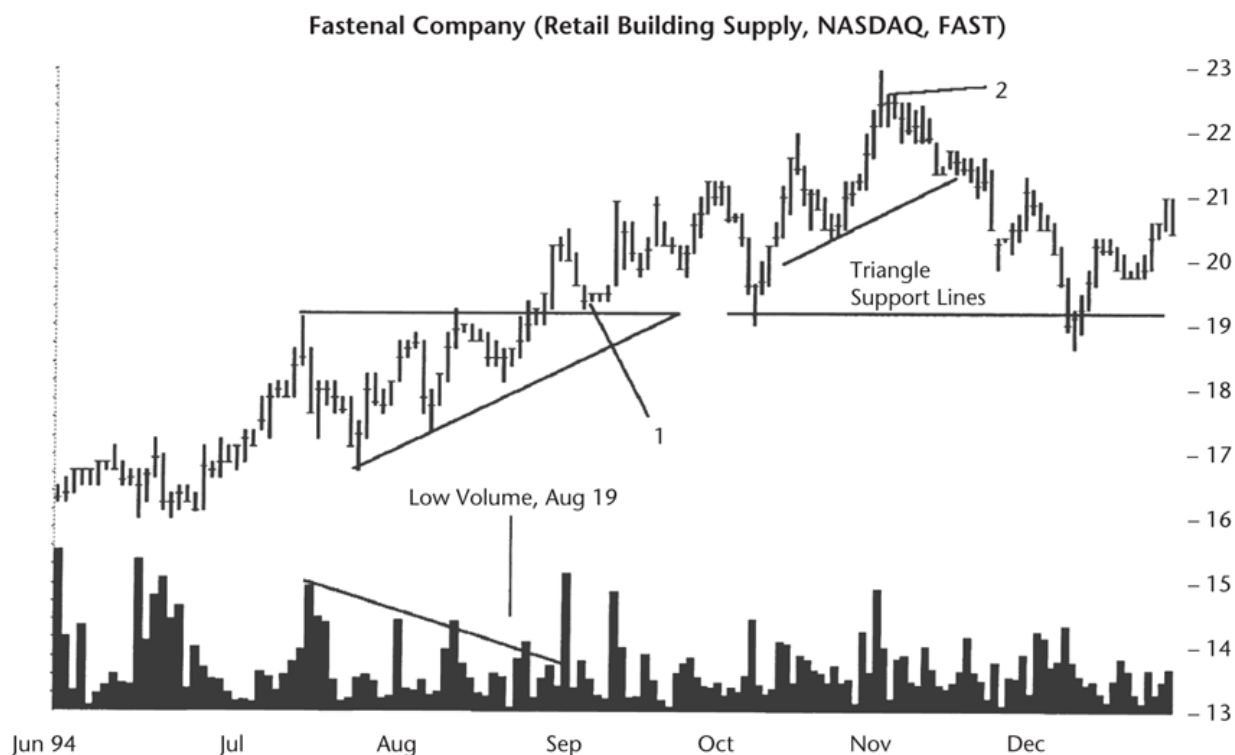


Figure 64.7 Trading an ascending triangle. As described in the Sample Trade, Dan bought 500 shares of the stock at point 1 after the stock threw back to the triangle. He sold it at point 2, the day after the stock hit the price target of 22.50. Note the down-sloping volume trend during creation of the triangle and the two support lines parallel to the two triangle borders.

“I grabbed my calculator and computed the breakout distance to the apex. It happened at the 70% mark. That signaled a potentially strong breakout. However, volume told a different story.”

Although volume had been steadily receding throughout the triangle as one would expect, there was no enthusiastic volume on the breakout. “I decided to wait before buying.”

Believing that a profitable opportunity was at hand, he computed the target price to see if it afforded a profitable move. The predicted price of 22.50 was 15% above the 19.25 launch price. To Dan, the small move was not terribly exciting, but it was much better than the interest rate banks were paying.

Two days after the breakout, the stock started declining and returned to the top of the triangle. “That’s when I bought 500 shares at the high for the day,